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CASE #	CASE NAME	HEARING NAME
CVME2505415	CHANNEL PARTNERS CAPITAL LLC VS WNK FOODS	MOTION FOR SUMMARY JUDGMENT

Tentative Ruling: Grant Plaintiff’s Motion for Summary Judgment. Plaintiff to submit a proposed judgment order within 10 days. An OSC is set on September 30, 2026 re: failure to submit the Proposed judgment order.

This is an action for breach of a written equipment finance agreement and the personal guaranty securing that agreement. On August 10, 2022, Plaintiff Channel Partners Capital LLC (“Plaintiff”) and Defendant WNK Foods, dba Rally’s (“WNK”) executed a written Master Equipment Finance Agreement (“Agreement”) under which Plaintiff agreed to loan WNK \$153,978.46 for the purchase of restaurant equipment, and WNK agreed to repay the loan in 72 monthly installments of \$2,770.33, for a total repayment amount of \$199,463.76. (Pl.’s Separate Statement of Undisputed Material Facts [“UMF”] ¶¶ 1–2; Defs.’ Response ¶¶ 1–2.)

Concurrent with the Agreement, Defendant Wahid Kamal Istifanos Karas aka Wahid Karas (“Karas”) executed a personal Guaranty (“Guaranty”) under which he agreed to be personally and unconditionally liable for all amounts owed by WNK under the Agreement. (UMF ¶ 3; Defs.’ Response ¶ 3.)

WNK made 26 monthly payments totaling \$72,028.58, but failed to make the monthly payment due October 25, 2024, or any payment thereafter. (UMF ¶ 6; Defs.’ Response ¶ 6.) Paragraph 12 of the Agreement provides that upon default, Plaintiff may accelerate the unpaid balance, including future payments to the end of term, discounted to present value at 4%. (Defs.’ Response ¶ 7; Thooft Decl. ¶ 5, Ex. 1 at p. 2.) Plaintiff seeks judgment for \$121,705.33 against WNK and Karas (collectively, “Defendants”), which is the sum pleaded in the Complaint. (UMF ¶¶ 8–9; Thooft Decl. ¶ 10; Compl. Prayer ¶ 1.)

On May 14, 2025, Plaintiff filed the Complaint against Defendants, asserting a single cause of action for breach of contract. Plaintiff seeks damages in the amount of \$121,705.33, plus any interest and reasonable attorney’s fees pursuant to the Agreement.

Objection No. 1 – Thooft Decl. ¶ 7 (sale-and-leaseback/\$64,500 disbursement to WNK). Defendants object based on lack of foundation and lack of personal knowledge. They argue that Thooft characterizes the \$64,500 December 29, 2021 payment as part of a sale-and-leaseback between WNK and NWS without identifying any lease, bill of sale, or sale-and-leaseback agreement, and without a stated personal source of knowledge for the transaction between WNK and NWS. Plaintiff responds that Thooft is competent to testify to facts reflected in the loan file she reviewed, that the objection goes to weight rather than admissibility, and that the objection is immaterial because Exhibit 3 (disbursement record) and Exhibit 1 (supplier invoices) independently establish Plaintiff’s performance.

- **OVERRULE.** The Court’s performance analysis does not rely on the sale-and-leaseback characterization in the Thooft Declaration. Instead, it rests on the invoice-to-disbursement reconciliation (Ex. 1; Ex. 3), which is independently admissible. The characterization is in any event immaterial to the performance element.

Objection No. 2 — Thoof Decl. ¶ 10 (damages calculation). Defendants object that Thoof states a \$127,435.18 principal balance, a 4% discount to \$122,337.77, and a requested \$121,705.33 without identifying any loan ledger, amortization schedule, or present-value worksheet showing how paragraph 12 produces those figures. Plaintiff responds that the foundational showing for its business records is unchallenged, that no rule of evidence requires a declarant to show arithmetic, and that Defendants have admitted every numerical input (72 payments of \$2,770.33; 26 payments made totaling \$72,028.58; paragraph 12's 4% discount on acceleration).

- **OVERRULE.** The objection is directed to weight and sufficiency of the damages showing, not to the admissibility of the Thoof Declaration. The inputs are drawn from the face of the Agreement and Defendants' admissions, and the damages figure is a straightforward mathematical consequence of those inputs.

Existence of the Contract: The undisputed evidence shows that on August 10, 2022, Plaintiff and WNK executed the Agreement, reflecting a financed amount of \$153,978.46 to be repaid over 72 monthly installments of \$2,770.33, and that Karas concurrently executed a personal Guaranty covering all amounts owed by WNK under the Agreement. (UMF ¶¶ 1–3; Defs.' Response ¶¶ 1–3.) Defendants admit the execution and terms of both the Agreement and the Guaranty. (UMF ¶¶ 1–3.)

Plaintiff's Performance: Plaintiff contends it performed by disbursing the full \$153,978.46 in three payments: \$66,560.47 to NWS, \$22,917.99 to ReSource, and \$64,500 directly to WNK. (UMF ¶¶ 4–5.) Defendants dispute performance on the ground that \$64,500 was disbursed directly to WNK rather than to an equipment supplier, and that Thoof's characterization of that payment as funding lease obligations under a sale-and-leaseback with NWS is unsupported by any lease, bill of sale, or sale-and-leaseback agreement in the record. (Defs.' Response ¶¶ 4–5.)

In reply, Plaintiff provides an arithmetic reconciliation drawn from the supplier invoices themselves. The NWS invoice totals \$131,060.47, reflects a December 29, 2021 credit of \$64,500, and shows an actual outstanding balance of \$66,560.47 (Thoof Decl. ¶ 5, Ex. 1 at pp. 25–26), matching Plaintiff's disbursement to NWS (Thoof Decl. ¶ 7, Ex. 3). The ReSource invoice totals \$22,917.99 (Thoof Decl. ¶ 5, Ex. 1 at p. 4), matching Plaintiff's disbursement to ReSource (Thoof Decl. ¶ 7, Ex. 3). The sum of the two equipment packages (\$131,060.47 + \$22,917.99) equals \$153,978.46, the exact amount financed. (Thoof Decl. ¶ 7, Ex. 3.) Because \$64,500 of the NWS package had already been paid before the financing closed, only \$66,560.47 remained owing to NWS (Thoof Decl. ¶ 7, Ex. 3), and disbursing the full \$131,060.47 to NWS would have overpaid that supplier by \$64,500. (Pl.'s Reply 6:10–12.) That explanation does not depend on the sale-and-leaseback characterization. It depends on the invoices and the arithmetic they reflect.

Defendants have submitted no declaration or documentary evidence controverting Plaintiff's account. Defendants do not deny that WNK received the \$64,500, do not dispute the NWS invoice's \$64,500 December 2021 credit or its \$66,560.47 outstanding balance, and do not assert that the total equipment cost was anything other than \$153,978.46. (Defs.' Response ¶¶ 1–5.) The absence of a sale-and-leaseback agreement bears on the characterization of the prior payment but does not negate the fact, reflected on the face of the NWS invoice, that the \$64,500 credit reduced what NWS was owed at the time of the August 2022 financing. Plaintiff's contractual obligation was to advance \$153,978.46 (Thoof Decl. ¶ 5), and the undisputed

evidence shows it advanced exactly that amount in proportions that reconcile precisely to the supplier invoices (Thooft Decl. ¶ 7, Ex. 3).

Defendants' Breach: Defendants admit that WNK made 26 monthly payments totaling \$72,028.58 and failed to make the payment due October 25, 2024 or any payment thereafter. (Defs.' Response ¶ 6.) Defendants likewise admit that paragraph 12 of the Agreement contains an acceleration remedy triggered by default. (*Id.* at ¶ 7.)

Resulting Damages: Paragraph 12 of the Agreement fixes the measure of damages upon default: the unpaid balance of the Agreement, including future payments to the end of term, discounted to present value at 4%. (Thooft Decl. ¶ 5, Ex. 1 at p. 2.) The inputs are largely admitted:

- Total scheduled payments: $72 \times \$2,770.33 = \$199,463.76$. (Defs.' Response ¶ 2.)
- Payments made: 26 payments totaling \$72,028.58. (Defs.' Response ¶ 6.)
- Unpaid scheduled payments: 46, valued at $46 \times \$2,770.33 = \$127,435.18$. (Defs.' Response ¶¶ 2, 6.)
- Contractual 4% discount on acceleration. (Defs.' Response ¶ 7.)

Thooft's declaration states that applying the 4% discount reduces \$127,435.18 to \$122,337.77, and that Plaintiff seeks \$121,705.33, the sum pleaded in the Complaint. (Thooft Decl. ¶ 10.) The arithmetic producing \$122,337.77 treats the 4% as a flat reduction: $\$127,435.18 \times 0.96 = \$122,337.77$. (*See* Pl.'s Reply 2:7–15.)

Defendants raise two objections to the damages calculation. First, they argue paragraph 12's language ("discounted to present value at 4%") requires a time-value present-value calculation and that Thooft's declaration supplies no amortization schedule, payment ledger, or present-value computation showing how the contractual formula produces the requested figure. (Defs.' Opp. 2:1–9, 4:10–16; Defs.' Response ¶¶ 4–9.) Second, they argue the \$632.44 gap between \$122,337.77 and \$121,705.33 is unexplained and not identified in Thooft's declaration. (Defs.' Opp. 5:7–6:21; Defs.' Response ¶¶ 8–9.) Defendants cite *CDF Firefighters v. Maldonado* (2008) 158 Cal.App.4th 1226, 1239, and *Paramount Petroleum Corp. v. Superior Court* (2014) 227 Cal.App.4th 226, 242–243, for the proposition that a moving plaintiff must affirmatively prove both the fact and the amount of damages.

Plaintiff has made a prima facie showing of the amount. Paragraph 12 does not specify an annual rate, a compounding interval, or a timing convention for the 4% discount; where the same paragraph intends an annualized rate, it uses explicit language ("18% per year"). (Thooft Decl. ¶ 5, Ex. 1 at p. 2.) Plaintiff's flat 4% application is at least a facially plausible reading of paragraph 12, and Defendants have offered no competing calculation, no expert declaration on present-value methodology, and no evidence of what the correct figure would be under a time-value approach. (Defs.' Response ¶¶ 4–9.) As to the \$632.44 gap, the difference operates in Defendants' favor as Plaintiff seeks less than the contract, on its face, would allow. (Thooft Decl. ¶ 10.) A defendant cannot manufacture a triable issue by pointing to a discrepancy that would only reduce the amount owed.

Plaintiff has carried its initial burden as to damages, and Defendants, having produced no affirmative controverting evidence of any kind, have not raised a triable issue of material fact.